

capital structure. Investors use this ratio to gauge a company's ability to meet its long-term obligations.

4.3 Asset Turnover

Asset turnover measures a company's efficiency in utilizing its assets to generate revenue. It is calculated by dividing total revenue by average total assets. A higher asset turnover indicates that a company is generating more revenue for each dollar invested in assets, reflecting operational efficiency. Comparing asset turnover across companies and industries helps assess relative performance and efficiency.

4.4 Return on Assets (ROA) and Return on Equity (ROE)

4.4.1 Return on Assets (ROA)

ROA measures a company's profitability in relation to its total assets. It is calculated by dividing net income by average total assets. ROA provides insights into how well a company is utilizing its assets to generate profits. A higher ROA suggests efficient asset utilization and strong profitability.

4.4.2 Return on Equity (ROE)

ROE assesses a company's profitability from the perspective of its shareholders' equity. It is calculated by dividing net income by average shareholders' equity. ROE reflects the return generated on shareholders' investment. A higher ROE indicates effective use of equity capital and strong financial performance.

Understanding these asset and liability ratios is crucial for investors seeking to evaluate a company's financial structure, risk exposure, and overall operational efficiency. These metrics provide valuable insights into management's ability to deploy resources effectively and generate returns for shareholders. In subsequent chapters, we will explore how these ratios integrate into a holistic fundamental analysis framework, enabling investors to make well-informed investment decisions.